Incase of retirement, the amount due from the firm is paid to the partner himself. But, when a partner dies the amount due from the firm is paid to the executor or legal representative of the deceased partner. The following journal entries are passed for settlement of the amount due to the deceased partner:

(i) To transfer the amount due to the deceased partner to the executor or legal representative of the deceased partner.

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Deceased partner's capital A/c	Dr.		xxx	
	To Deceased partner's executor A/c				xxx

(ii) For payment made

(a) When the amount due is paid in cash immediately

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Deceased partner's executor A/c	Dr.		xxx	
	To Cash / Bank A/c				xxx

(b) When the amount due is not paid immediately in cash

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Deceased partner's executor A/c	Dr.		xxx	
	To Deceased partner's executor loan A/c				xxx

(c) When the amount due is partly paid in cash immediately

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Deceased partner's executor A/c	Dr.		xxx	
	To Cash / Bank A/c (amount paid)				xxx
	To Deceased partner's executor loan A/c				xxx

Illustration: 20

Rathna, Baskar and Ibrahim are partners sharing profits and losses in the ratio of 2:3:4 respectively. Rathna died on 31st December, 2018. Final amount due to her showed a credit balance of ₹ 1,00,000. Pass journal entries if,

(a) The amount due is paid off immediately by cheque.

(b) The amount due is not paid immediately.

(c) ₹ 60,000 is paid immediately by cheque.

12th-Accountancy-Unit-06.indd 209 1/4/2020 12:04:02 PM